RENNES SCHOOL OF BUSINESS
Guillaume OTTOLINI
09/03/2026

NVIDIA

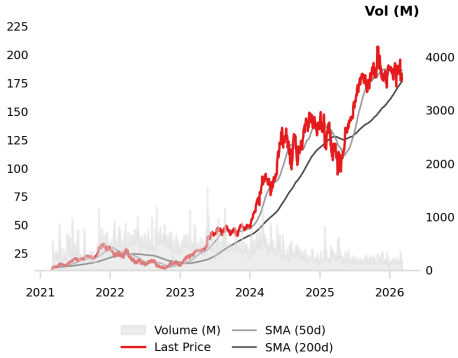
Sector GICS: Technology
Ticker: NVDA

Price: 177.88 $
YTD Perf.: -4.7%
Market Cap: 4323.5 Bn $

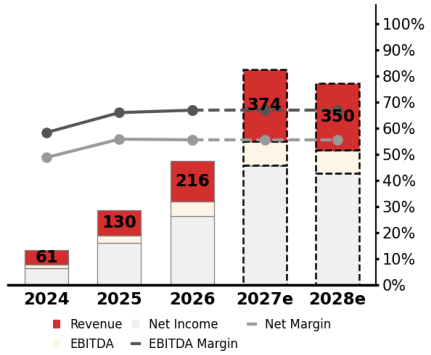
HOLD

DCF Value: 85.16 $ (-52.1%)
Consensus: 265.0 $ (+49.0%)

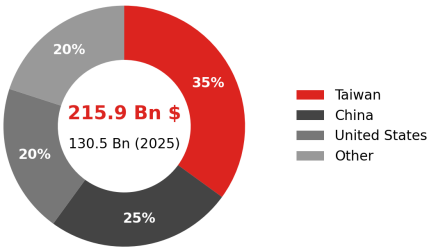
NVIDIA (NVDA) - 5Y Price History
As of 09 Mar 2026



NVIDIA: Financial Performance (2024-2028e)



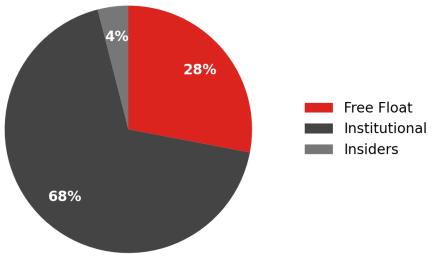
Geographic Revenue Breakdown



Executive Management:

Jensen Huang	CEO
Colette Kress	CFO
Bill Dally	CSO

Shareholding Structure
As of 09 Mar 2026



Top 6 Shareholders:

Vanguard Group Inc.	8.5%
BlackRock Inc.	7.8%
Fidelity Management & Resear..	4.5%
State Street Corp	3.7%
Geode Capital Management LLC	1.9%
Capital Research Global Inve..	1.5%

Company Overview:

NVIDIA Corporation is a global leader in accelerated computing, pioneering the art and science of visual computing and AI. The company's innovative platforms are transforming industries from gaming and professional visualization to data centers and autonomous machines, driving advancements in artificial intelligence worldwide. Its robust ecosystem of hardware, software, and services underpins its market dominance.

1. Data Center (80% of Rev): Provides GPUs, networking, and software for AI, high-performance computing, and cloud infrastructure, serving hyperscalers and enterprises.

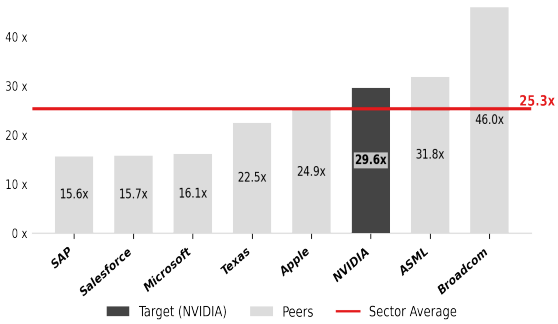
2. Gaming (12% of Rev): Offers GeForce GPUs and platforms for PC gaming, delivering cutting-edge graphics and immersive experiences to a vast global user base.

3. Professional Visualization (5% of Rev): Supplies Quadro GPUs and software for design, content creation, and scientific visualization across various professional industries.

4. Automotive (3% of Rev): Develops AI platforms for autonomous vehicles, infotainment systems, and robotics, driving innovation in the transportation sector.

Financials (Bn $)	2024	2025	2026	2027e	2028e
Revenue	60.9	130.5	215.9	374.0	350.3
EBITDA	35.6	86.1	144.6	250.4	234.5
EBITDA Margin	58.4%	66.0%	66.9%	66.9%	66.9%
Net Income	29.8	72.9	120.1	208.0	194.8
EPS	1.19	2.94	4.90	8.49	7.95
Free Cash Flow	27.0	60.9	96.7	167.4	156.8
ROCE	59.8%	87.1%	74.7%	74.7%	74.7%
Net Debt / EBITDA	0.1x	0.0x	0.0x	0.0x	0.0x
P/E Ratio	149.5x	60.5x	36.3x	21.0x	22.4x
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

EV/EBITDA Comparison (Technology)



Investment Thesis:

NVIDIA's business model is anchored by its unparalleled dominance in GPU technology, essential for AI and high-performance computing. This creates significant entry barriers, reinforced by a proprietary software ecosystem like CUDA, which locks in developers and customers. The company benefits from high revenue visibility due to long design cycles and strategic partnerships with hyperscalers. NVIDIA consistently demonstrates exceptional gross and operating margins, reflecting its pricing power and technological leadership. Its robust free cash flow generation further underscores the financial strength and operational efficiency, enabling continuous investment in R&D; to maintain its competitive edge.

The macro context is overwhelmingly favorable, driven by the accelerating global demand for artificial intelligence and data center infrastructure. NVIDIA is perfectly positioned within this sector tailwind, acting as the foundational technology provider for the AI revolution. Its competitive positioning is virtually unmatched, with superior performance and a comprehensive platform approach that integrates hardware, software, and services. The long-term strategy focuses on expanding its AI computing platform across new industries, from enterprise AI to industrial digitalization and robotics, ensuring sustained growth and market leadership in critical emerging technologies.

NVIDIA's stock has experienced significant volatility, with a Year-to-Date (YTD) performance of **-4.7%** as of 09 Mar 2026, reflecting market adjustments despite its robust fundamentals. The company maintains a colossal Market Capitalization of **4323.5 Bn $**, underscoring its systemic importance. Recent news highlights include continuous innovation in new GPU architectures and expanding partnerships in cloud AI. Upcoming catalysts include the launch of next-generation AI accelerators, further penetration into sovereign AI initiatives, and advancements in its software monetization strategies, which could drive renewed investor interest and positive momentum.

While comparative multiples for NVIDIA remain elevated, reflecting its growth prospects, our proprietary Discounted Cash Flow (DCF) analysis indicates the stock is currently **overvalued**. The DCF, which relies on a short-term growth of **20.0%** and a terminal growth rate of **3.0%**, with a WACC of **12.0%**, calculates an Intrinsic Value of **85.16 $**, implying a potential downside of **-52.1%** from the current price. This divergence from the analyst consensus target price of **265.0 $** (potential upside of **+49.0%**) suggests the market is assigning a significant "growth premium" not fully captured by traditional valuation models.

Key Risks:

- **Competition:** Intense rivalry from AMD and custom silicon developers could erode market share and pricing power.
- **Supply Chain:** Dependence on TSMC for advanced manufacturing poses risks of disruptions and capacity constraints.
- **Geopolitical:** Tensions, particularly US-China relations, could impact sales in key markets and technology access.
- **Cyclicality:** Exposure to semiconductor industry cycles and potential slowdowns in data center spending.
- **Regulatory:** Increased scrutiny over market dominance and potential antitrust actions in major jurisdictions.

Sources:
Annual Report NVDA (FY2026)
Analyst Consensus (Bloomberg / LSEG Data)
Market Financial Data (Yahoo Finance API)
Qualitative AI Synthesis (Proprietary Model)

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